

Governance Factors in ESG Investing

From the agency problem to the frontier of shareholder democracy

Jae Yung Kim

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Who actually decides what a company does?

ExxonMobil, May 2021. A brand-new hedge fund — **Engine No. 1** — owned about **0.02%** of Exxon. It nominated **four** directors on a decarbonisation platform.

Before I tell you what happened — predict

How many of the twelve board seats do you think a **0.02%** owner won? 0? 1?
3? *none — it's hopeless?*

The question for today

Environmental and social outcomes did not happen by wish. They were *produced* by a **governance mechanism**. Today we study that machinery — and where it breaks.

Roadmap

1. **Foundations** — the agency problem and the governance toolkit.
2. **Shareholders & voting** — how control is actually exercised today.
3. **Governance × ESG** — how E&S preferences become corporate action (and fail to).
4. **The frontier** — shareholder democracy: trading, voting, and the value of a vote.
5. **A live research question** — dual-class “sunset contests.”

How today works

At several points I will **stop and ask you to predict** — a yes/no, a number, a guess. You argue it out; then we see what a top finance/economics paper actually found; then a *conclusive* answer.

“ESG” = the environmental, social & governance factors investors weigh beyond pure financials.

Afternoon: the African Bank (ABIL) case — governance failure in the flesh.

The thesis: governance is the *transmission mechanism*

The “G” is not a third silo next to E and S.

It is the **machinery** that turns preferences
— for profit, for the planet, for workers
— into what the firm actually does.

Preferences (owners, society)

↓ *boards · voting · blockholders*

Corporate action (E, S, returns)

Take this away

Good E&S outcomes without good governance are a *wish*. If you understand G, you understand how (and whether) E and S get delivered.

Foundations: the agency problem

The root: ownership $\neq$ control

Berle & Means (1932). In the modern public corporation, ownership is **dispersed** across many small shareholders, while control sits with **professional managers** who own little.

- Owners bear the cash-flow consequences.
- Managers make the decisions.
- Their interests are *not* automatically aligned.

This separation is the seed of *all* corporate governance

Every tool we study exists to bridge the gap between those who *own* and those who *decide*.

Jensen & Meckling (JFE 1976). When an agent (manager) acts for a principal (owner), conflicts generate **agency costs**:

- **Monitoring** costs — boards, auditors, analysts watching managers.
- **Bonding** costs — managers credibly committing (e.g., debt, pay at risk).
- **Residual loss** — the value still lost despite both.

“Corporate governance deals with the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment.” — Shleifer & Vishny (JF 1997)

The governance toolkit — six levers

1. **Boards** — delegated monitors.
2. **Shareholder voting** — collective choice.
3. **Blockholders** — large owners who monitor or exit.
4. **Market for control** — takeovers, activists.
5. **Disclosure** — transparency, audits.
6. **Incentives** — executive pay design.

The thread of the lecture

Levers 1–2 (**boards** and **voting**) are where ESG actually gets decided — so we go deepest there. (Our hook, Engine No. 1, used levers 2 & 4: voting + the market for control.) Each lever ultimately depends on *shareholders* using it (Part 2).

Boards of directors — the apex control body

- Hire, pay, and **fire** the CEO; ratify strategy; oversee risk and reporting.
- Directors owe **fiduciary duties** — of *care* and *loyalty* — to shareholders.
- **Independence**: outside directors meant to monitor, not collude.
- Work through **committees**: audit, compensation, nominating/governance.

But are boards real monitors — or rubber stamps?

The classic worry: CEO-captured boards. Modern theory says the picture is subtler → next slide.

Boards as information & decision bodies (not rubber stamps)

- **Communication.** How a board talks shapes what directors reveal and decide. *(Malenko, RFS 2014)*
- **Productive disagreement.** “Deadlock” on a board can be *value-increasing* — the threat of disagreement disciplines the CEO and directors. *(Donaldson, Malenko & Piacentino, RFS 2020)*

Why this matters for ESG

Whether a board genuinely debates climate risk or diversity — or waves it through — is a governance *design* question, not a slogan.

ASK · Should a firm put more women on its board?

A board is 90% male. A proposal would add several women directors.

Two questions — commit before we look

1. Does board gender diversity *improve firm performance*? *yes / no / depends*
2. Would a **gender quota** *raise or lower* firm value? *up / down / no effect*

DISCUSS · What might be true — and how would we even know?

“Yes, it helps”

- more independent monitoring
- diversity of information & perspective
- less group-think / CEO capture

“No / it depends”

- tokenism; constrained search
- the firms that add women may already differ
- correlation $\neq$ causation

The identification trap

“Diverse boards = better firms” in raw data could just mean *good firms add women*. To get a **causal** answer we must strip out that selection. Hold that thought.

Do women on boards improve firm performance? Would a quota help?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Adams & Ferreira, JFE 2009

Incentives: executive pay — align, or symptom?

- The textbook purpose: **pay-for-performance** (equity, options, restricted stock) aligns managers with owners.
- But pay can also be a *symptom* of weak governance — a captured compensation committee.
- **Say-on-pay**: shareholders cast an *advisory* vote on pay — our first taste of voting as a governance tool (Part 2).

So which is it — discipline, or capture? Let's test it on a clean case.

An oil company's stock doubles. The reason: the *world oil price* doubled — nothing the CEO did.

Predict

Does the CEO's **pay** rise with that windfall? And if it does, roughly *how much* relative to pay for performance the CEO actually *caused*? *none / some / just as much*

“It shouldn’t”

luck isn't skill; a good board filters it out.

“It will”

pay tracks the stock; nobody hands back a windfall.

Are CEOs paid for luck — and does governance change that?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Bertrand & Mullainathan, QJE 2001

Part 1 takeaway

- Governance exists because **ownership $\neq$ control**.
- A toolkit of six levers manages the resulting agency costs.
- Boards are real, subtle decision bodies — diversity changes how they *monitor* — but **every lever ultimately runs on shareholders**.

So: **who are the shareholders, and how do they exercise power?** → Part 2.

Shareholders & voting: the heart

Who owns the modern firm? The institutional era

Ownership has re-concentrated — not in founders, but in **institutions**.

- The **Big Three** (BlackRock, Vanguard, State Street) cast a large and fast-growing share of votes at US public firms.
- They are mostly **index funds**: they hold “the market” and cannot sell — so **voice** (voting and engagement), not exit, is their lever.

The question this raises

If the biggest owners are *passive* by construction, are they also *passive owners*? Hold that — we test it on the next slide.

The stewardship paradox — worry vs. evidence

The worry

- Index funds hold **enormous** voting power but **weak incentives**: fees are tiny, and any value they create is shared with rivals.
- ⇒ possible **under-investment in stewardship**.

The evidence

- **Appel, Gormley & Keim (JFE 2016)**. More passive ownership ⇒ *more* independent directors, *fewer* poison pills, *less* dual-class.
- “Passive investors, **not** passive owners.”

Why you should care

Whoever controls these votes effectively decides many ESG questions for the whole market — and the data say they *do* use them.

How a shareholder vote actually works

1. **Proxy statement** (DEF 14A) lays out the ballot.
2. **Record date** fixes *who* is eligible to vote.
3. **Annual meeting**: votes cast (mostly by proxy, often by policy).
4. **Results** disclosed (8-K, Item 5.07).

Remember the record date

Eligibility is set on one day — but shares trade *every* day. Who owns the firm on the record date can differ from who owns it later. We will return to this in Part 4.

What shareholders vote on

- **Director elections** — the core accountability vote.
- **Say-on-pay** — advisory vote on executive pay.
- Ratify auditor; approve **M&A**.
- **Shareholder proposals** (SEC Rule 14a-8) — including E&S.

The E&S proposals in the last bullet are where “ESG” meets the ballot (Part 3).

A large owner can **monitor** (voice) or **sell** (exit) — both can discipline managers (Hirschman 1970; Edmans, JF 2009).

A classic result worth knowing

Maug (JF 1998): market *liquidity* can *help* monitoring — it lets a blockholder quietly build a stake and profit from improving the firm. Liquidity and control are not always a trade-off.

A hedge fund quietly buys ~6% of a sleepy firm, files a Schedule 13D, and demands change — sell a division, change the board, return cash.

Predict the next 12 months for the target's stock

rises (discipline works) / falls (raiders strip value) / pops, then reverts (overreaction)

“Value creation”

lazy managers get disciplined; cash freed up.

“Short-termism”

cut investment, juice the stock, flip, leave a husk.

Does activism build long-term value, or strip it?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Brav, Jiang, Partnoy & Thomas, JF 2008

Proxy advisors: ISS & Glass Lewis

- Dispersed owners cannot research thousands of ballot items $\Rightarrow$ they **buy recommendations**.
- Two firms — **ISS** and **Glass Lewis** — dominate. ISS alone covers $\sim 40,000$ meetings in 115 countries for 1,600+ institutional clients.
- Kingmakers, or useful intermediaries? A live policy fight (SEC, courts, a 2025 Executive Order).

PREDICT · How much does ISS actually move a vote?

ISS flips its recommendation on a say-on-pay proposal from FOR to AGAINST.

Write down a number

By how many **percentage points** does shareholder support fall?

0 · a few · 10? · 25? · 40?

“ ≈ 0 ”

funds do their own homework; it's just advice.

“Huge”

everyone robo-follows ISS; it decides the vote.

How many points does an ISS “against” really move a vote?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Malenko & Shen, RFS 2016

Part 2 takeaway

- Voting power has **concentrated** in institutions and intermediaries — and they *use* it.
- The **vote** is the channel through which owners' preferences — financial *and* ESG — reach the firm.

Next: how do **ESG** preferences flow through this channel — and where do they leak?

Governance × ESG

Two channels: voice and vote

E&S preferences reach the firm through **engagement** (voice) and **voting**.

In both, **governance quality** decides whether a preference becomes corporate *action* or just a press release.

- Rule 14a-8 proposals on **climate**, **diversity**, political spending.
- “Say-on-climate” advisory votes on transition plans.
- The 2021 high-water mark: Engine No. 1 vs. Exxon (our opening story).

The reversal: declining E&S support

- Support for E&S proposals has **fallen** since 2021.
- Politics: **anti-ESG** state laws; the Big Three stepping back from climate coalitions; a wave of (often vague) anti-ESG proposals.

Is this fatigue, capture, backlash, or a changing owner mix? An open empirical question.

A fund markets itself as an ESG champion. A climate proposal comes to a vote.

Predict — the counterintuitive bit

When the fund's vote would actually **decide** the outcome (a close, pivotal vote), does it vote yes **more** often, or **less** often, than when its vote doesn't matter?

more (consistent) / same / less (strategic)

Do “ESG” funds vote their values when the vote is pivotal?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Michaely, Ordóñez-Calafí & Rubio, RF 2024

PREDICT · Does quiet engagement actually pay?

A large fund engages management privately on an ESG issue — no proxy fight, just pressure.

Predict the stock-return payoff

it always pays / it pays only if the engagement succeeds / it never moves the stock

Then: *how often* do you think such engagements actually succeed? *1 in 2? 1 in 5? 1 in 20?*

Does quiet ESG engagement actually pay — and how often?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Dimson, Karakaş & Li, RFS 2015

A caution: ESG and market power

- **Bond & Levit (JFE 2025):** ESG and market power interact in non-obvious ways — pro-social pledges are *not* always welfare-improving once market power is in play.
- So “successful engagement pays off when it works” (Dimson et al.) is a *shareholder-value* statement, not automatically a *social-welfare* one.

Good for shareholders $\neq$ good for society — a theme we return to in Part 4.

The dark mirror: governance *failure* (this afternoon)

When the machinery breaks, social and economic catastrophe follows.

African Bank (ABIL), South Africa, 2014:

- Board capture; CEO hubris; concentrated, high-risk unsecured lending to vulnerable borrowers.
- Collapse — with severe social fallout.

We dissect ABIL as a governance-failure case at 13:00.

- ESG outcomes are **produced** by the governance machine.
- The machine can be **gamed** (strategic voting), pays off **only selectively** (engagement), or is **broken** (ABIL).

The frontier: shareholder democracy

The big idea: the electorate is *endogenous*

People **trade before they vote**. So *who owns the firm at the vote* is itself a choice — made in the market.

Levit, Malenko & Maug, “Trading and Shareholder Democracy” (JF 2024).

Recall the record date: trading reshuffles the electorate right up to it.

Let's *run* it — a 5-minute classroom market

1. Two rooms, **A** and **B**. Half of you are **pro-change**, half **status-quo**.
2. Each gets 2 voting shares + cash; posted price 10; you may buy up to 2 more (no short-selling).
3. I tell **A**: “this will probably *pass*.” I tell **B**: “this will probably *fail*.”
4. Trade for two minutes — then we hold a **share-weighted vote**.

What you'll see

Two identical rooms reach *different* outcomes — because the **expectation** reshuffled who owns the votes. The forecast didn't predict the result; it helped *create* it.

PREDICT · After the vote, who trades?

You just simulated trading *before* a vote. Now look *after* a real, contentious shareholder meeting.

Predict

Who trades more once the result is known — the **winners** or the **losers**? And which *direction* do the losers go?

winners buy more / losers sell out / nobody trades — it's settled

After a contentious vote, who trades — winners or losers?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Li, Maug & Schwartz-Ziv, RFS 2022

Why that breaks our intuitions

- Trading and voting **reinforce** each other $\Rightarrow$ self-fulfilling outcomes and *multiple equilibria*.
- Making trading *easier* can make shareholders **worse off**.
- A high *price* need not mean happy shareholders: $\text{price} \neq \text{welfare}$.

Levit, Malenko & Maug, “The Voting Premium” (JF 2026).

- A voting premium arises when blockholders reshape the electorate — *without any takeover*.
- Subtle and important: the **measured** premium does *not* equal the value of votes — it can even be **negative** (small holders free-ride on the blockholder).

Döttling, Levit, Malenko & Rola-Janicka (RFS 2026).

- Corporate “one share, one vote” interacts with political “one person, one vote.”
- A shareholder push for pro-social policy can trigger **political backlash** that undoes it — and more diversified investors can intensify the backlash.

Why this is the frontier

- The “**who really decides**” question — now formalized, and squarely policy-relevant.
- It is the research stream I work in.

Which brings us to one **live, unsolved** question.

**A live research question:
dual-class “sunset contests”**

Snap's 2017 IPO sold shares with **zero** votes. Google, Meta and Snap let founders keep **voting control** with a small cash-flow stake.

Predict — two questions

1. Would you pay *more* or *less* for a no-vote share than a normal one? (*cash flows are identical*)
2. Is founder **voting control** *good* or *bad* for firm value?

DISCUSS · Visionary founder, or unaccountable one?

Control is good

- protects a long-horizon founder
- shields R&D from short-term markets
- “skin in the game” / vision

Control is bad

- insulates from accountability
- entrenchment; pet projects
- minority can't discipline

The clean question

Separate *cash-flow* ownership (“skin in the game”) from *voting* control (“insulation”). They usually move together — dual-class **prises them apart**.

No-vote shares: is founder control good or bad for value?

We **predict** now; the data & the conclusive answer come **live in class**.

To pre-read: Gompers-Ishii-Metrick (RFS 2010); Aggarwal et al. (JFE 2022)

The “sunset” debate

- Investors (ISS, CII) push for **sunsets**: super-voting rights expire after ~ 7 years.
- **Bebchuk & Kastiel** name three designs — *fixed-time*, *triggering-event*, and *ownership-percentage* sunsets — arguing the case for control *weakens* as time passes.
- In 2023, S&P *reversed* its ban on adding dual-class firms to its indexes — the policy fight is wide open.

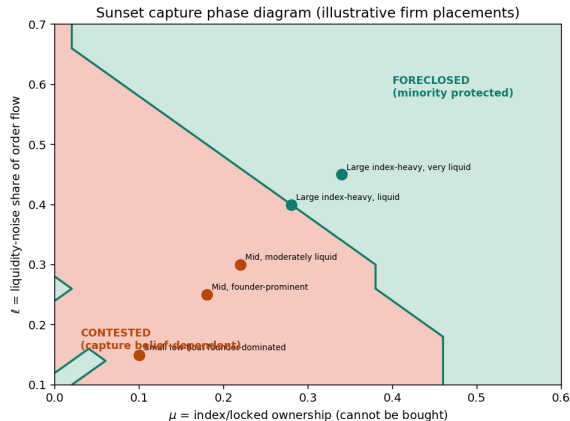
A live experiment: The Trade Desk (2020 & 2025)

The same firm extended its sunset **twice** — under *two different rules*:

- **2020**: extended under a **majority-of-the-minority** vote (only *unaffiliated* holders counted). It passed.
- **2025**: extended again under a **combined** vote where the founder's super-votes counted (a Nasdaq reprimand followed). It passed.

Same founder, two rules, both passed. **So what does the rule actually do?**

EVIDENCE · A model of the “sunset contest” (my pilot)



Under majority-of-minority the founder cannot vote his own shares — but he can *buy out* dissenters, whose shares then drop out of the protected minority.

Who owns the votes when the sunset is contested:

- Time-based sunsets do *not* foreclose capture.
- An ownership-band sunset *can*.

Source: Author's sunset-contest model (calibrated proof-of-concept; work in progress).

The research question

Can a rule meant to *protect* the minority end up *hollowing* it? When does a sunset actually discipline a founder — and which sunset *design* is hardest to game?

- Under a **combined** vote, a controlling founder wins almost by definition — the sunset barely binds.
- Under **majority-of-minority**, he buys out the dissenters instead. So which design actually works?

This is my current research. Your thoughts?

Wrap-up

Five takeaways

1. Governance is the **transmission mechanism** for E and S.
2. **Ownership** $\neq$ **control** $\Rightarrow$ the agency problem $\Rightarrow$ the toolkit.
3. Power now sits with **institutions, advisors, and the vote** — and they *use* it (ISS moves $\sim 25\%$ of a vote; passive funds aren't passive).
4. The **electorate is endogenous** — voting is subtler than it looks; ESG votes can be gamed.
5. The frontier (**dual-class sunsets**) is live and unsolved.

- **Voting & trading:** Levit, Malenko & Maug — *Trading and Shareholder Democracy* (JF 2024); *The Voting Premium* (JF 2026).
- **Advisors & owners:** Malenko & Shen (RFS 2016); Appel, Gormley & Keim (JFE 2016).
- **ESG in the vote:** Michaely, Ordóñez-Calafí & Rubio (RF 2024); Dimson, Karakaş & Li (RFS 2015).
- **Big picture:** Shleifer & Vishny (JF 1997).

This afternoon: the **African Bank (ABIL)** case.

Questions?